Ultra Sound Money: Ethereum's Post-Merge Supply Dynamics and Monetary Premium

Data-forward analysis for crypto-native investors

Current Supply	Avg Base Gas	ETH Price
121,603,980 ETH	0.1 Gwei	$2,243

Post-merge economics: issuance, burn, staking, and monetary premium

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

Current Supply

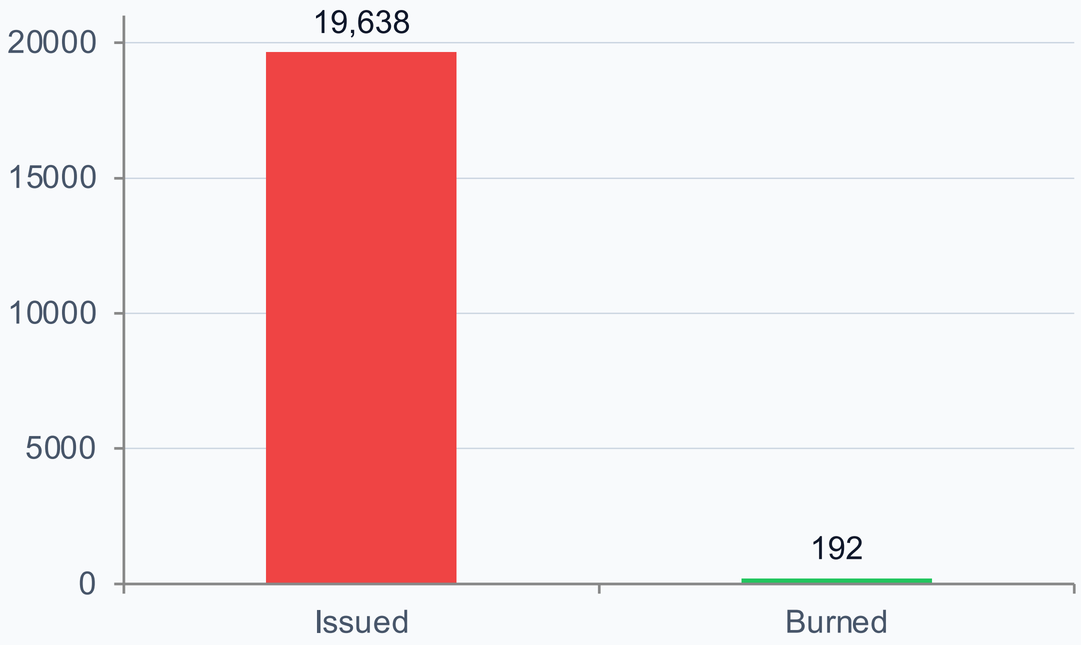
121,603,980 ETH

Net 7d Change

+19,445.89 ETH

Burn / Issuance Offset

0.01x



Gas and Burn Mechanics

EIP-1559 context

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

Gas Range (Gwei)

Blob Gas

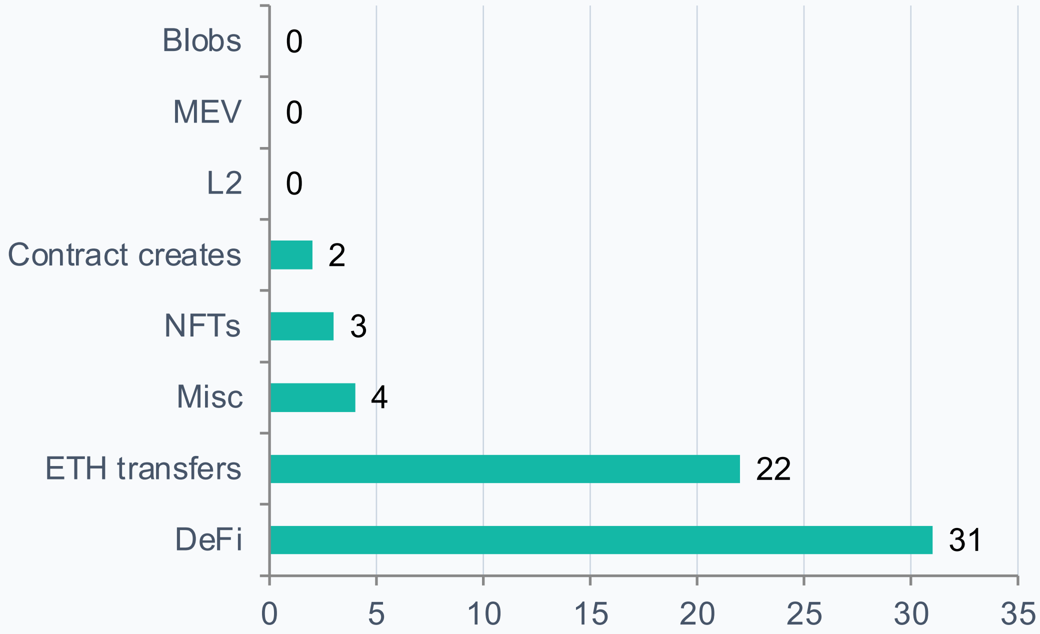
~7.1M wei avg

Blob burn: 0.15 ETH (7d)

Projection equilibrium assumes 22 Gwei average gas — 220x current 0.1 Gwei.

At today's low activity, burn is mechanically constrained, causing temporary net inflation despite EIP-1559.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn



Top Burn Leaderboard (ETH)

ETH transfers	21.7
Tether	13.6
Uniswap V4	12.2
Uniswap Universal Router	4.8
0x: Exchange Proxy	3.9

Total burned (7d): 192.39 ETH

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

Total Staked

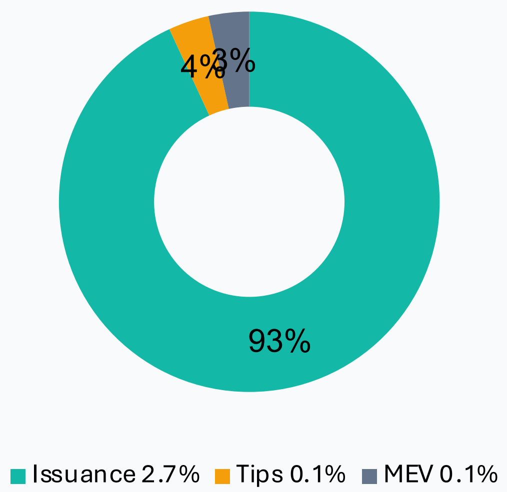
38.9M ETH

≈32% of supply

Locked in staking contracts:

9.1M ETH

Avg lock duration: 10.7 years



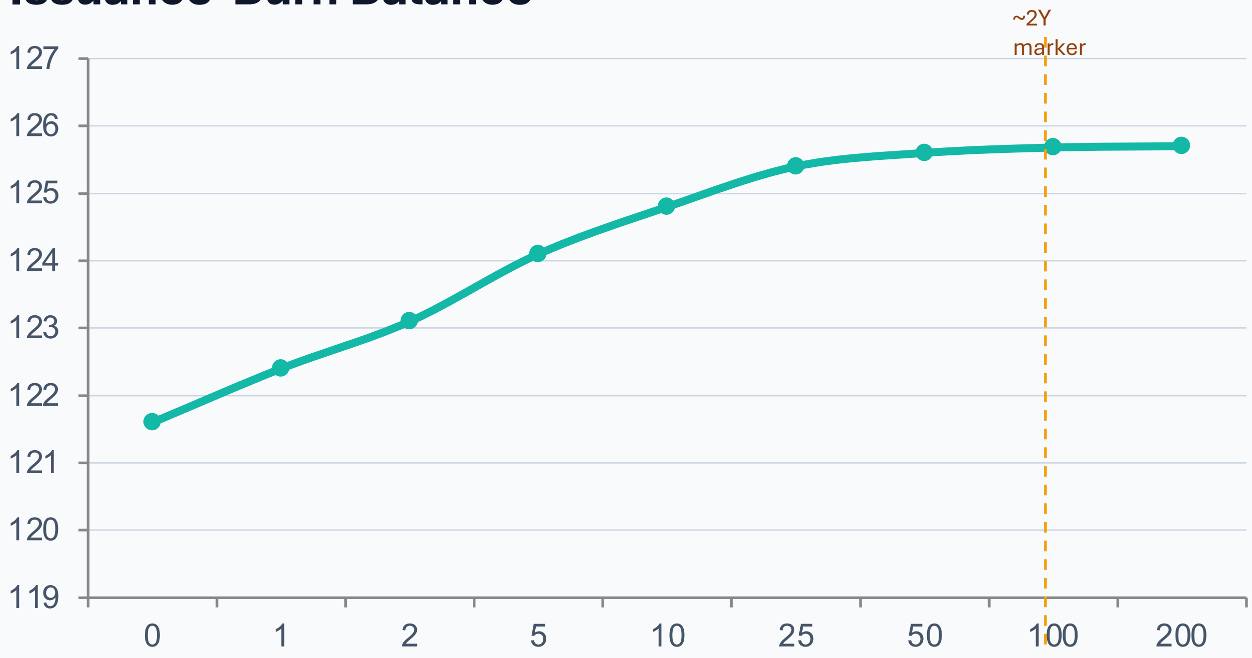
Interpretation

Validator income is overwhelmingly issuance-driven at current activity levels.

Tips + MEV contribute only 0.2% APR combined.

High staking penetration creates persistent liquid-supply compression.

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance



Model Parameters

Equilibrium: 125.7M ETH

Staked: 39M ETH

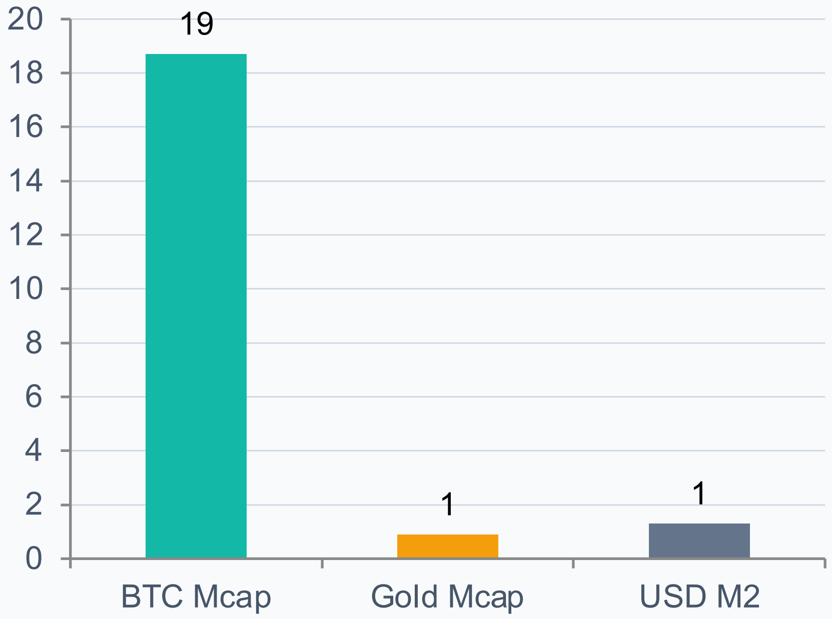
Base gas assumption: 22 Gwei

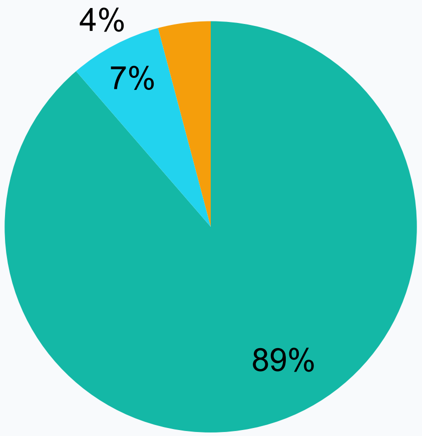
PoS issuance: 2.8K ETH/day

Burn: 2.2K ETH/day

Annual balance: ~1,037K ETH

ETH at 18.7% of Bitcoin's Market Cap, Securing $272B in Native Value





TVS Total

~$307.6B

Top ERC20s

Dai $4.41B
SHIB $3.51B
Cronos $2.97B
Tether Gold $2.65B

Top NFTs

CryptoPunks $2.13B
BAYC $0.68B
ENS $0.63B
Pudgy Penguins $0.51B

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

- ETH is currently mildly inflationary at +0.83%/yr due to historically low gas (~0.1 Gwei).
- The burn mechanism is functioning, but only offsets ~1% of issuance in the current demand regime.
- 38.9M ETH staked (32% of supply) and 9.1M ETH long-lock positions compress circulating float.
- Under 39M staked and 22 Gwei assumptions, supply converges toward ~125.7M ETH equilibrium.
- ETH now secures ~$307.6B TVS and has reached 18.7% of BTC market cap — monetary premium is building.

Investor implication: the ultra sound money thesis is structurally credible, but path-dependence on sustained on-chain activity remains the key near-term headwind.